February 14, 2023

MR. ADRIAN P. DIMACALI
HR Manager and Legal Counsel
FAMILY TIMES FOODS, INC.
(for **CAFÉ MARY GRACE**)

RENEWAL OF LEASE

Dear Mr. Dimacali,

This is in reference to the contract expiration of CAFÉ MARY GRACE at Southwoods Mall, Southwoods City, Biñan, Laguna. Please find the fundamental lease provisions for the renewal:

Unit No.	Ground Floor, Unit A8-A9
Area	163.96 sqm. (approx.)
Basic Rent	- Exclusive of VAT, and other utilities
01 May 2023 - 30 April 2024	PHP 847.00/sqm/month
01 May 2024 - 30 April 2025	PHP 914.76/sqm/month
01 May 2025 - 30 April 2026	PHP 1,006.24/sqm/month
Percentage	5% of Gross Sales (whichever is higher)
Minimum Rent	- Exclusive of VAT, and other utilities
01 May 2023 - 30 April 2024	PHP 1,210.00/sqm/month
01 May 2024 - 30 April 2025	PHP 1,306.80/sqm/month
01 May 2025 - 30 April 2026	PHP 1,437.48/sqm/month
Security Deposit	Given the rate, required Security Deposit now amounts to **PHP1,190,349.60** as Megaworld Corporation's standard deposit requirement is six (6) months deposit. Your current Security Deposit paid (if any) will be deducted from the required amount.
CUSA (Common Area Charges)	PHP 180.00/sqm/month (subject to adjustment depending on prevailing costs)
Marketing Dues	PHP 20,000.00/year (subject to adjustment depending on prevailing costs)
Electrical Charges	Based on the actual consumption; Lessor's rate shall be applied (subject to adjustment depending on prevailing costs)
Aircon Charges	PHP 160.00/sqm/month (subject to adjustment depending on prevailing costs)
Pest Control	PHP 7.00/sqm/month (subject to adjustment depending on prevailing costs)
Lease Term / Contract Date	May 1, 2023 to April 30, 2026
Rental Commencement	May 1, 2023

OTHERS	
Updated Government Permits & Licenses	Submission of renewed permits and licenses of follows: - Business Permit, Signage Permit, Sanitary Permit
Government Registration & Corporate Papers (if there are changes made after the initial submission)	- SEC Registration - Articles of Incorporation - DTI Registration - Secretary's Certificate (stating officers authorized to negotiate, enter into and sign for and behalf of the Corporation all Lease Contracts, Award Notices, and other pertinent documents pertaining to the lease of properties/space by the corporation)
Safety and Audit Inspection	A safety and audit inspection shall be conducted by our Property Administrators to ensure that FAMILY TIMES FOODS, INC. complies with all the safety requirements of the mall.
Insurances	- Comprehensive General Liability Insurance (CGLI) coverage amount should not be less than P 500,000.00 - Fire Insurance

In the event that we do not receive any feedback from you with regard to the renewal terms of CAFE MARY GRACE on or before **15 March 2023** we shall consider this as your acceptance of all the terms and conditions stated above notwithstanding your failure to return to us a signed copy of this letter or conform to these terms and conditions.

All terms and conditions in our existing Contract of Lease that are not inconsistent or modified by the above renewal shall remain valid and binding on the parties.

If you need to clarify anything regarding the above, please do not hesitate to contact the undersigned at mdasuncion@megaworld-lifestyle.com.

Sincerely yours,

MICHA D. ASUNCION
Senior Leasing Associate
Retail Partners Management

Noted by:

JULIET S. PAGULAYAN
Leasing/Deputy General Manager

JUNNETH O. GOMEZ
General Manager - Southwoods City
Megaworld Commercial Division

Conforme:

_____
MR. ADRIAN P. DIMACALI
HR Manager and Legal Counsel
FAMILY TIMES FOODS, INC.
Date: _____